Exact-2SLS-sample first stage: successor year + 0

Successor attribute	Instrument coefficient (SE)	Excluded-IV F	Observations
From release pool	0.006*** (0.002)	10.47	1,424
Big 4 background	0.204 (0.297)	0.473	1,424
Zero prior failure	0.073** (0.029)	6.196	956
Zero prior restatement	0.001 (0.069)	0.000250	962
Zero prior violation	0.083** (0.035)	5.532	956

Notes: The three audit-failure outcomes have identical first-stage estimates within each horizon; one copy is shown. Audit-firm and rotation-year fixed effects; firm controls supplied as lagged panel values; standard errors clustered by audit firm.